3.9.1 Retrenchment and the impact of change in size

Unit 3.9 Strategic methods: how to pursue strategies · 6 key points

- **Retrenchment:** cutting back the scale of the business, e.g. closing sites
- **Reasons to retrench:** falling demand, losses, refocusing on core activities
- **Impact on marketing:** narrower range, fewer markets
- **Impact on operations:** spare capacity or closures
- **Impact on HR:** redundancies, low morale
- **Impact on finance:** one-off costs, then lower running costs